Merger vs Purchase

AS 14 Amalgamation

same deal, two labels!

Advanced Accounting

In simple words *If all five AS 14 conditions are met it is a merger. If even one fails, it is a purchase.*

(1) Amalgamation in nature of merger

Pooling of interests: all assets and liabilities pass over, and shareholders of the transferor continue as shareholders of the transferee.

All conditions must be met

(2) Amalgamation in nature of purchase

Any amalgamation that fails even one merger condition. The transferee in effect buys the business of the transferor.

One failure is enough

1. Merger needs all assets and liabilities of the transferor to be taken over
2. 90% of transferor equity shareholders (face value) become transferee shareholders
3. Consideration is paid in equity shares; cash only for fractional shares
4. Merger: no adjustment to book values, and the business is meant to continue



Swipe for the summary →

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THE 5-POINT COMPARISON

Amalgamation: Merger vs Purchase (AS 14)

learn it side by side

POINT	MERGER	PURCHASE
Conditions	All conditions met	Any one condition fails
Method	Pooling of interests	Purchase method
Reserves	Transferor reserves preserved	Not preserved; statutory ones via AAR
Difference	Adjusted in reserves	Goodwill or Capital Reserve
Assets taken at	Existing book values	Book or fair values

MERGER IS ALL-OR-NOTHING! Meeting four of five conditions still makes it a purchase.

Swipe for a memory trick →

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STUDY TRICK

Amalgamation: Merger vs Purchase (AS 14)

check the list first

JOINT FAMILY VS SHOPPING

Merger: the whole family (assets, liabilities, 90% holders) moves into one house, nothing re-priced. Purchase: you shop for the business and pay a price.

HOW TO ATTEMPT IT

1 Check all assets and liabilities taken → 2 Check 90% shareholders become members → 3 Check consideration is in equity shares → 4 Check business continues, no book value change → 5 All met: merger; else purchase

EXAM TIP

Name the type first. Then apply the pooling or purchase method to reserves and the difference.

DOUBT BUSTER

Is paying some cash allowed in a merger? Only for fractional shares. Any other cash makes the consideration fail the test, so it becomes a purchase.

Swipe for common mistakes →

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COMMON MISTAKES

Amalgamation: Merger vs Purchase (AS 14)

avoid these slips

✗ Treating 75% shareholder acceptance as enough for a merger

✓ AS 14 asks for at least 90% of equity shareholders (by face value), excluding shares held by transferee.

✗ Showing goodwill in a merger

✓ In a merger the difference is adjusted in reserves, not shown as goodwill or capital reserve.

✗ Cancelling transferor reserves in a merger

✓ In a merger the transferor's reserves are generally carried to the transferee's books with the same identity.

Save this for revision!

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